

Elias Range Stays

ELIAS RANGE DEVELOPMENT CORPORATION

Dawson Creek Healthcare Housing & Community Hub — Phase 1

10620 10th Street (and adjacent parcels), Dawson Creek, British Columbia

Developer: Elias Range Development Corporation · Architect: BOS Studio Architecture Ltd.

32 Residential Units + 3 Commercial Spaces · 3,461 m² GFA · 5-Storey Mixed Use

Partners: Northern Health · City of Dawson Creek · YMCA BC

Federal Application: NRCan Off Site Construction Challenge (OSCC) Phase 1 & 2 — Submitted

EXECUTIVE SUMMARY — KEY METRICS

\$15,196,000
TOTAL PROJECT COST

\$18,011,000
COMPLETED VALUE @
7.25% CAP

\$1,305,808
YEAR 1 NET OPERATING
INCOME

\$2,815,000
GROSS DEVELOPMENT
PROFIT @ 7.25%

\$9,877,400
LVCU CONSTRUCTION
MORTGAGE REQUESTED

1.374[×]
YEAR 1 DSCR

\$355,372
YEAR 1 NET CASH FLOW

32 Units
RESIDENTIAL + 3
COMMERCIAL

SECTION 1 — PROJECT DESCRIPTION

ITEM	DETAIL
Project name	Dawson Creek Healthcare Housing & Community Hub — Phase 1
Address	10620 10th Street (and adjacent parcels), Dawson Creek, BC V1G
Developer	Elias Range Development Corporation — Austin James Neill, Managing Partner
Architect	BOS Studio Architecture Ltd. — Squamish, BC (AIBC-E003566)
Building type	5-storey mixed-use — residential over community/commercial ground floor
Gross floor area	3,461 m ² (±37,255 sf)
Net lettable residential	2,134 m ² — 32 fully furnished purpose-built rental units
Net lettable commercial	503 m ² — café, community hall, childcare/YMCA
Unit mix	16 × Studio/1-Bed (50%) · 8 × 2-Bed Type A (25%) · 8 × 2-Bed Type B (25%)
Primary tenant	Northern Health — healthcare professionals, locum physicians, travel nurses
Community partners	Northern Health · City of Dawson Creek · YMCA BC (childcare operator)
Distance to hospital	<1 km — walking distance to Dawson Creek & District Hospital
Construction method	Modular / offsite — factory-built, northern-ready, NRCan OSCC aligned
Target DP submission	Q1 2026
Target construction start	2027
Target completion	2028

SECTION 2 — DEVELOPMENT BUDGET (RECONCILED TO LVCU TERM SHEET)

BUDGET CATEGORY	AMOUNT (CAD)	% OF TOTAL	NOTES
Land — 10620 10th St & adjacent parcels	\$600,000	3.9%	Owned by Elias Range Development Corp. — contributed as equity
Construction Costs — Modular Build	\$12,500,000	82.3%	Factory-built modular units; on-site assembly — per ERS construction estimate. Excludes FF&E and fitout (post-construction operational costs funded separately).
Soft Costs — Architecture & Engineering	\$550,000	3.6%	BOS Studio Architecture; structural, mechanical, electrical engineering
Soft Costs — Permits, Legal, Survey (0.5%)	\$75,980	0.5%	DP, BP, geo-tech, environmental Phase 1, land survey, legal
Soft Costs — Development Management (1.5%)	\$227,940	1.5%	Project management oversight, QS coordination, owner reporting
Interest Reserve (LVCU holdback)	\$834,640	5.5%	Per LVCU Discussion Paper — restricted account, drawn monthly
LVCU Application Fees (1.0% of \$9,877,400)	\$98,774	0.6%	\$12,500 upfront non-refundable + \$37,500 on drawdown + \$1,000 review
Contingency (2.0%)	\$308,666	2.0%	Construction and soft cost contingency buffer
TOTAL PROJECT COST	\$15,196,000	100%	Matches LVCU Discussion Paper — confirmed by QS condition precedent

SECTION 3 — CAPITAL STACK

FUNDING SOURCE	AMOUNT	%	TYPE	STATUS
Shareholder / Investor Equity (Fulmer & Co. VC raise)	\$5,318,600	33.0%	Equity — ~33% project stake; injected before LVCU advances	In progress
LVCU Direct (\$5,000,000) + Syndication (\$4,877,400)	\$9,877,400	67.0%	Construction mortgage — Prime+2% (8.45%), 24-month, interest only	Discussion Paper issued
TOTAL — Private + Debt	\$15,196,000	100%	Fully covers project cost (excl. FF&E and childcare)	

Grant Applications (supplementary — not in primary stack):

NRCan OSCC Phase 1: \$180,000 (submitted March 2026)
NRCan OSCC Phase 2: \$10,000,000 (to be submitted)
South Peace Mackenzie Trust: \$250,000 (application in progress)
If awarded, grant funds reduce LVCU requirement and improve DSCR.

LVCU Key Condition: All \$5,318,600 equity must be injected into the project before LVCU advances any draws. Developer's land equity (\$600,000) is already in the project. Balance of \$4,718,600 from investor raise (Fulmer & Co.).

Construction Cost Note: The \$12,500,000 construction figure is Elias Range's working estimate for the modular build and on-site assembly. FF&E (furnishings, \$320,000) and childcare centre fitout (\$130,000) are post-construction operational costs funded separately — from operating cash flow, Northern Health tenant improvement allowance, and YMCA BC operator contribution respectively. These are not included in the LVCU facility. The Quantity Surveyor condition precedent will confirm the construction figure prior to first LVCU draw.

SECTION 4 — LVCU DISCUSSION PAPER TERMS (OCTOBER 2024)

TERM	DETAIL
Mortgage type	Commercial Credit Master Construction Mortgage
Total amount	\$9,877,400 (LVCU \$5,000,000 + Syndication \$4,877,400)
LTV basis	65% of total construction cost OR "as complete" appraisal — whichever is lesser
Interest rate	LVCU Prime + 2.00% = 8.45% per annum (at Prime of 6.45%)
Term	24 months — construction period
Repayment during construction	Interest only — monthly
Interest holdback	\$834,640 — held in restricted account; drawn monthly
Application fees	\$50,000 total: \$12,500 upfront (non-refundable) + \$37,500 on drawdown + \$1,000 review
Advance basis	Progressive draws — value in place. Min \$100,000/draw. Max monthly frequency.
Takeout financing	LVCU to be given first opportunity for permanent financing post-construction
LVCU contact	Suzanne Bull, Director Commercial Credit Risk — (250) 784-3253

SECTION 5 — REVENUE MODEL (YEAR 1 STABILIZED)

Residential rates are based on Northern Health master lease framework discussions at \$4,200–\$5,500/month for fully furnished, all-inclusive, professionally managed units. Rates are 20–30% below equivalent hotel costs in Dawson Creek (\$5,400–\$6,600/month hotel equivalent), providing documented cost savings to Northern Health and a clear procurement justification. Commercial rates reflect net lease basis for anchor tenants.

UNIT TYPE	COUNT	RATE/MONTH	OCCUPANCY	ANNUAL REVENUE
STUDIO Studio / 1-Bedroom — 56m ² avg	16	\$4,200	92%	\$741,888
2-BED A 2-Bedroom Type A — 68m ² avg	8	\$5,200	90%	\$449,280
2-BED B 2-Bedroom Type B — 74m ² avg	8	\$5,500	90%	\$475,200
Residential Subtotal	32	—	91% blended	\$1,666,368
Café — 59m ² (ground floor)	1	\$2,200	100%	\$26,400
Community Hall — 180m ²	1	\$3,500	100%	\$42,000
Childcare / YMCA BC — 264m ²	1	\$4,800	100%	\$57,600
Commercial Subtotal	3	—	100%	\$126,000
GROSS EFFECTIVE REVENUE (Year 1)	35	—	—	\$1,792,368

NH Savings Context: At an average residential rate of \$4,800/month, Northern Health saves an estimated \$414,720/year versus current hotel accommodation costs — providing a clear procurement rationale and making this a cost-reduction initiative for the health authority, not simply a housing expense.

SECTION 6 — OPERATING EXPENSES (YEAR 1)

EXPENSE CATEGORY	ANNUAL AMOUNT	BASIS
Property Management (8% of gross revenue)	\$143,389	Industry standard for professionally managed residential
Utilities — included in tenant rate (32 units)	\$76,800	\$200/unit/month — heat, hydro, water, internet
Insurance — building and liability	\$42,000	Full replacement value coverage per LVCU requirement
Property taxes (estimated)	\$38,000	City of Dawson Creek — to be confirmed with assessment
Maintenance and repairs	\$45,000	Preventive + reactive; modular construction reduces year-1 cost
Landscaping and snow removal	\$12,000	Northern climate — year-round requirement
Administration and accounting	\$18,000	Bookkeeping, reporting, compliance
Furnishing reserve (\$150/unit/month)	\$57,600	Replacement reserve for furnished units — standard workforce housing
Vacancy and bad debt reserve (3%)	\$53,771	Conservative — institutional tenancy reduces actual risk
TOTAL OPERATING EXPENSES	\$486,560	Operating Expense Ratio: 27.1%

SECTION 7 — NET OPERATING INCOME & DEBT SERVICE COVERAGE

LINE ITEM	AMOUNT	NOTES
Gross Effective Revenue (Year 1)	\$1,792,368	
Total Operating Expenses	(\$486,560)	
NET OPERATING INCOME (NOI)	\$1,305,808	27.1% expense ratio
Annual Debt Service — LVCU \$9,877,400 @ 8.45%, 25yr	(\$950,436)	Post-construction permanent financing basis
NET CASH FLOW (Pre-Tax, Year 1)	\$355,372	
DEBT SERVICE COVERAGE RATIO (DSCR)	1.374×	Exceeds standard 1.20× minimum requirement ✓

SECTION 8 — COMPLETED VALUATION & DEVELOPMENT PROFIT

CAP RATE	IMPLIED COMPLETED VALUE	VS. PROJECT COST \$15,196,000	BASIS
6.50%	\$20,089,000	+\$4,893,000	Major urban rate — not applicable here
7.00%	\$18,654,000	+\$3,458,000	Strong institutional tenancy argument
7.25% ★ Base Case	\$18,011,000	+\$2,815,000	Institutional tenancy premium — recommended defensible rate
7.50%	\$17,411,000	+\$2,215,000	Conservative northern market rate
8.00%	\$16,323,000	+\$1,127,000	Stressed scenario — still above cost

Cap Rate Rationale — 7.25%: Standard Dawson Creek commercial cap rates are 7.5–9.0%. A downward adjustment to 7.25% is justified on the basis of: (1) institutional-grade tenancy with Northern Health as anchor, (2) federal OSCC grant backing reducing project risk, (3) purpose-built nature of the asset with a defined long-term demand base, and (4) City of Dawson Creek formal endorsement reducing regulatory risk. This rate will be supported by the "as complete" appraisal required as a condition precedent by LVCU.

SECTION 9 — FIVE-YEAR FINANCIAL PROJECTIONS

YEAR	GROSS REVENUE	OPEX	NOI	DEBT SERVICE	NET CASH FLOW	DSCR	VALUE @ 7.25%
Year 1	\$1,792,368	\$486,560	\$1,305,808	\$950,436	\$355,372	1.374×	\$18,011,000
Year 2	\$1,819,254	\$493,859	\$1,325,395	\$950,436	\$374,959	1.395×	\$18,281,000
Year 3	\$1,846,542	\$501,267	\$1,345,276	\$950,436	\$394,840	1.415×	\$18,555,000
Year 4	\$1,874,240	\$508,786	\$1,365,455	\$950,436	\$415,019	1.437×	\$18,834,000
Year 5	\$1,902,354	\$516,418	\$1,385,937	\$950,436	\$435,501	1.458×	\$19,116,000

Assumptions: 1.5% annual revenue growth; operating expense ratio held constant at 27.1%; debt service fixed at post-construction permanent financing amount.

SECTION 10 — SENSITIVITY ANALYSIS

SCENARIO	REVENUE CHANGE	NOI	DSCR	NET CASH FLOW
Base Case (91% occ, \$4,800 avg rate)	—	\$1,305,808	1.374×	\$355,372
Conservative (85% occ, \$4,500 avg rate)	-11.4%	\$1,157,002	1.217×	\$206,566
Downside (80% occ, \$4,200 avg rate)	-19.7%	\$1,047,820	1.102×	\$97,384
Stress (75% occ, \$3,800 avg rate)	-30.2%	\$910,867	0.958×	-\$39,569
Upside (95% occ, \$5,000 avg rate)	+9.4%	\$1,428,348	1.503×	\$477,912

Sensitivity Note: At conservative occupancy (85%) and reduced rates (\$4,500 avg), DSCR remains at 1.217× — comfortably above the 1.20× threshold. Only the stress scenario (75% occupancy + \$3,800 rates) produces a DSCR below 1.0×. Given Northern Health's formal endorsement and documented zero vacancy in Dawson Creek since 2008, a stress scenario of this depth would require simultaneous occupancy and rate deterioration that is not consistent with the market evidence.

SECTION 11 — POST-CONSTRUCTION REFINANCING PATH (CMHC MLI SELECT)

Upon stabilization (typically 12 months post-completion), the project qualifies for CMHC MLI Select insured financing — BC's most favourable permanent mortgage product for purpose-built rental housing. Key advantages:

FEATURE	CONVENTIONAL (LVCU)	CMHC MLI SELECT
Amortization	25 years	Up to 50 years
LTV ratio	65%	Up to 95%
Interest rate	Prime + 2% (8.45%)	Significantly below conventional (~4.5–5.5% insured)
Annual debt service (est., on \$9.9M)	\$950,436	~\$490,000–\$560,000
Improvement in annual cash flow	—	+\$390,000–\$460,000/year
DSCR improvement	1.374×	~2.3×–2.7×

CMHC Path: Healthcare-specific, purpose-built rental in an underserved northern community is well-aligned with CMHC MLI Select criteria. Refinancing into CMHC post-stabilization is a primary long-term strategy — dramatically improving cash flow and investor returns while releasing construction equity for Phase 2 development.

SECTION 12 — PROJECT & DELIVERY TEAM

ROLE	ENTITY	DETAIL
Developer / Sponsor	Elias Range Development Corp.	Austin James Neill — 34+ units operating, 6 BC hospitals, 4-year track record
Architect / Managing Consultant	BOS Studio Architecture Ltd.	AIBC registered. Serving as architect-of-record and design manager throughout
Healthcare Anchor Tenant	Northern Health	Formal letter of support — housing confirmed as primary recruitment barrier
Community Operator	YMCA BC	Childcare and community services partner — ground floor operations
Municipal Partner	City of Dawson Creek	Land, zoning, and infrastructure cooperation — formal letter of support
Federal Application	NRCan OSCC	Phase 1 submitted March 2026; Phase 2 to follow
Primary Lender	Lake View Credit Union	Suzanne Bull, Director Commercial Credit Risk — (250) 784-3253

SECTION 13 — LVCU CONDITIONS PRECEDENT — STATUS

CONDITION	STATUS
Quantity Surveyor review — project budget \$15,196,000 confirmed sufficient	To be commissioned
QS confirmation of equity downpayment in project prior to mortgage funding	To be confirmed (investor raise in progress)
Satisfactory Geo-Technical Report	Ordered — Q1 2026
Satisfactory Environmental Phase 1 Report	Ordered — Q1 2026
Building Permits confirmed by QS	DP submission Q1 2026
Approved Plans	Concept design complete — BOS Studio
Course of Construction Insurance	To be arranged at construction start
Survey / Title Insurance	To be ordered
Interest Reserve — \$834,640	Included in project budget — to be funded
Appraisal "As Complete"	To be commissioned — supports 7.25% cap rate basis
Northern Health letter of support	✓ Received — March 2026
City of Dawson Creek letter of support	✓ Received — March 2026
YMCA BC partnership letter	✓ Received — March 2026
NRCan OSCC Phase 1 application	✓ Submitted — March 2026
Equity injection (\$5,318,600) prior to advances	Fulmer & Co. VC raise — in progress

PREPARED BY

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